USDT0 · SECURITY REVIEW

USDT0
X Layer Deployment.

A security review of X Layer Deployment.

CLIENT	PROJECT	AUDITORS	AUDIT WINDOW	FINAL REPORT
USDT0	X Layer Deployment	Guardian	September 3 – September 4, 2025	September 4, 2025

§ 00

Contents.

9 pages: overview, confidence ranking, scope, 1 finding, disclaimer, and about Guardian.

§ 01 **Overview** P. 03

§ 02 **Confidence Ranking** P. 04

§ 03 **Scope & Classifications** P. 05

§ 04 **Findings** P. 06

Main Review · 1 finding P. 07

§ 05 **Disclaimer** P. 08

§ 06 **About Guardian** P. 09

§ 01

Overview.

Guardian reviewed X Layer Deployment across a single review round. The final report includes 1 Informational finding.

AUDIT FIRM
Guardian

CLIENT
USDT0

PROJECT
X Layer Deployment

PREPARED BY
Guardian

AUDIT WINDOW
September 3 – September 4, 2025

FINAL REPORT
September 4, 2025

METHODOLOGY
Smart contract · Manual · Main Review

1.1 Confidence Ranking

5 / 5

Very High Confidence

Guardian assigns a Confidence Ranking of 5 out of 5, combining finding severity, remediation outcome, and the reviewer's assessment of latent risk. The full scale is on the next page.

1	2	3	4	5
VERY LOW CONFIDENCE	LOW CONFIDENCE	MODERATE CONFIDENCE	HIGH CONFIDENCE	VERY HIGH CONFIDENCE

1.2 Findings at a Glance

SEVERITY	TOTAL	PENDING	ACK	PARTIAL	RESOLVED
Critical	**0**	0	0	0	0
High	**0**	0	0	0	0
Medium	**0**	0	0	0	0
Low	**0**	0	0	0	0
Informational	**1**	0	1	0	0
All severities	**1**	**0**	**1**	**0**	**0**

§ 02

Confidence Ranking.

Guardian assigns a project-level confidence score using the scale below. The ranking combines finding severity, remediation outcome, and the reviewer's assessment of latent risk.

CONFIDENCE RANKING	DEFINITION AND RECOMMENDATION	RISK PROFILE
5 Very High Confidence ASSIGNED	Codebase is mature, clean, and secure. No High or Critical vulnerabilities were found. Follows modern best practices with high test coverage and thoughtful design. Recommendation: code is highly secure at time of audit.	0 High/Critical findings and few Low/Medium severity findings.
4 High Confidence	Code is clean, well-structured, and adheres to best practices. Design patterns are sound and test coverage is strong. Recommendation: suitable for deployment after remediations; consider periodic review with changes.	0-1 High/Critical findings per engagement week and little to no Medium severity findings.
3 Moderate Confidence	Code is functional but shows gaps in defensive programming or test coverage. Recommendation: remediate the findings and re-review the changes before deployment.	Some High/Critical findings, with various Medium severity findings.
2 Low Confidence	Recurring issues suggest systemic gaps rather than isolated mistakes. Recommendation: remediate, then commission a follow-up review at a frozen commit.	Over 6 High and Critical findings across the engagement.
1 Very Low Confidence	The volume and severity of findings indicate the codebase is not ready for production. Recommendation: substantial rework, then a full re-review.	Over 12 High and Critical findings across the engagement.

§ 03

Scope & Classifications.

Guardian reviewed X Layer Deployment.

IN SCOPE

USDT0 - Proxy: 0x779Ded0c9e1022225f8E0630b35a9b54bE713736

USDT0 - Implementation: 0x1ec7df9e74be05cb5a456aca2dc1ac2cec9ab6a3

USDT0 - Proxy Owner: 0xF555A12bfFAEf20cC201A74ae6513Cb4aaDB34B9

USDT0-OFT - OFT: 0x94BCCa6bdfd6A61817Ab0E960bFedE4984505554

USDT0-OFT - Implementation: 0x525DE2BD10Ab77B6EF347259c0136801575D0749

USDT0-OFT - Proxy Admin: 0xa882c21C9df00958A958cde96f2B2Ae8FB4315B1

https://docs.google.com/spreadsheets/d/1yS43NI9ncC6XhnFpu2rqODYx_1cpeDvepVzngWWVf5k/edit?gid=0#gid=0

3.1 Severity Matrix

	IMP · HIGH	IMP · MED	IMP · LOW
LIK · HIGH	Critical	High	Medium
LIK · MED	High	Medium	Low
LIK · LOW	Medium	Low	Low

IMPACT · HIGH	Significant loss of assets, harm to a group of users, or core protocol functionality is disrupted.
IMPACT · MEDIUM	Small amount of funds can be lost, or ancillary functionality is affected. Users may experience reduced or delayed receipt.
IMPACT · LOW	Unexpected behavior in some functionality that is notable but does not meet the criteria for higher severity.
LIKELIHOOD · HIGH	Possible with reasonable assumptions that mimic on-chain conditions; cost is low compared to amount gained.
LIKELIHOOD · MEDIUM	Possible only in uncommon cases or requires a large amount of capital relative to disruption caused.

§ 04

Findings.

Grouped by round. Visible IDs reset by severity within each round, so a finding is named the same way in the report as it was in the channel it was written in. Status is where each finding ended up; its own page says how.

ID	TITLE	CATEGORY	SEVERITY	STATUS	PAGE
MAIN REVIEW					
I-01	Proxy & Admin Bytecode Inconsistency	Best Practices	INFORMATIONAL	ACKNOWLEDGED	p. 7

INFORMATIONAL I-01

ACKNOWLEDGED

Proxy & Admin Bytecode Inconsistency

CATEGORY	Best Practices
LOCATION	`Global`
REVIEW	Main Review

DESCRIPTION

The deployed proxy/admin bytecode does not align with our local builds or with deployments on other chains.
- Current deployment: **Solidity 0.8.9** with **200 optimization runs**.
- Other deployments: **Solidity 0.8.10 with 100,000 runs** or **0.8.4 with 100,000 runs**.
- Additionally, these contracts appear to rely on **different OpenZeppelin library versions**.
Although the Hardhat Upgrades plugin uses precompiled proxies (which means proxy bytecode itself is not influenced by the compiler version of implementation contracts), the inconsistency in compiler versions, optimization runs, and dependency versions introduces potential risks:
- Divergent bytecode may hinder verification and reproducibility.
- Inconsistent compiler settings can introduce subtle behavioral differences.

RECOMMENDATION

- **Pin the compiler version and optimization settings** across all deployments to ensure bytecode uniformity.
- **Align dependency versions**, particularly OpenZeppelin libraries, to avoid unexpected behavioral differences.
- **Lock the upgrades plugin version** to maintain consistency of proxy/admin contracts across environments.

RESOLUTION

Status: Acknowledged.

§ 05

Disclaimer.

This report is not, nor should be considered, an "endorsement" or "disapproval" of any particular project or team. This report is not, nor should be considered, an indication of the economics or value of any "product" or "asset" created by any team or project that contracts Guardian to perform a security assessment. This report does not provide any warranty or guarantee regarding the absolute bug-free nature of the technology analyzed, nor do they provide any indication of the technologies proprietors, business, business model or legal compliance.

This report should not be used in any way to make decisions around investment or involvement with any particular project. This report in no way provides investment advice, nor should be leveraged as investment advice of any sort. This report represents an extensive assessing process intending to help our customers increase the quality of their code while reducing the high level of risk presented by cryptographic tokens and blockchain technology.

Blockchain technology and cryptographic assets present a high level of ongoing risk. Guardian's position is that each company and individual are responsible for their own due diligence and continuous security. Guardian's goal is to help reduce the attack vectors and the high level of variance associated with utilizing new and consistently changing technologies, and in no way claims any guarantee of security or functionality of the technology we agree to analyze.

The assessment services provided by Guardian is subject to dependencies and under continuing development. You agree that your access and/or use, including but not limited to any services, reports, and materials, will be at your sole risk on an as-is, where-is, and as-available basis.

Cryptographic tokens are emergent technologies and carry with them high levels of technical risk and uncertainty. The assessment reports could include false positives, false negatives, and other unpredictable results. The services may access, and depend upon, multiple layers of third-parties.

Notice that smart contracts deployed on the blockchain are not resistant from internal/external exploit. Notice that active smart contract owner privileges constitute an elevated impact to any smart contract's safety and security. Therefore, Guardian does not guarantee the explicit security of the audited smart contract, regardless of the verdict.

§ 06

About Guardian.

Guardian is a smart contract security firm. Every engagement is worked by two independent teams competing on the same scope, each with its own tooling and methods, so no single reviewer's blind spot survives.

$45B+
DIGITAL ASSETS UNDER REVIEW

200+
ENGAGEMENTS COMPLETED

500+
CRITICAL & HIGH FINDINGS REPORTED

Reach us at audits@guardianaudits.com.